



False Claims Act Settlements and Judgments Exceed \$2.9B in Fiscal Year 2024

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Highest Number of Qui Tam Actions Filed in History

Settlements and judgments under the False Claims Act exceeded \$2.9 billion in the fiscal year ending Sept. 30, 2024, Principal Deputy Associate Attorney General Benjamin C. Mizer and Principal Deputy Assistant Attorney General Brian M. Boynton, head of the Justice Department's Civil Division, announced today. The government and whistleblowers were party to 558 settlements and judgments, the second highest total after last year's record of 566 recoveries, and whistleblowers filed 979 qui tam lawsuits, the highest number in a single year. Settlements and judgments since 1986, when Congress substantially strengthened the civil False Claims Act, now total more than \$78 billion.

"The Department's enforcement of the False Claims Act this past year demonstrates its continued commitment to pursuing those who seek to defraud the American taxpayers," said Principal Deputy Associate Attorney General Mizer. "The False Claims Act and its whistleblower provisions remain a critical tool in protecting the public fisc and ensuring that taxpayer funds serve the purposes for which they were intended."

"The Department places a high priority on fighting fraud and abuse in federal programs," said Principal Deputy Assistant Attorney General Boynton, head of the Justice Department's Civil Division. "The results announced today highlight once again that such conduct will not be tolerated, and that those who knowingly misuse taxpayer funds will be held accountable."

The False Claims Act imposes treble damages and penalties on those who knowingly and falsely claim money from the United States or knowingly fail to pay money owed to the United States. The False Claims Act thus safeguards government programs and operations that provide access to medical care, support our military and first responders, protect American businesses and workers, help build and repair infrastructure, offer disaster and other emergency relief, and provide many other critical services

and benefits. The resolutions in fiscal year 2024 also reflect the Department's focus on key enforcement priorities, including combating health care fraud, the opioid epidemic, fraud in pandemic relief programs, and violations of cybersecurity requirements in government contracts and grants.

Of the more than \$2.9 billion in False Claims Act settlements and judgments reported by the Justice Department this past fiscal year, over \$1.67 billion related to matters that involved the health care industry, including managed care providers, hospitals and other medical facilities, pharmacies, pharmaceutical companies, laboratories, and physicians. The amounts included in the \$1.67 billion reflect recoveries arising only from federal losses, but in many of these cases, the Department was instrumental in recovering additional amounts for state Medicaid programs.

The Justice Department continued its commitment to use the False Claims Act to deter and redress fraud by individuals as well as corporate entities. Such efforts deter future fraud, incentivize changes in both corporate and individual behaviors, ensure that the proper parties are held responsible, and promote the public's confidence in our justice system.

The Department also remained committed to incentivizing and rewarding entities and individuals that self-disclose misconduct, demonstrably cooperate in the course of an investigation, and take effective remedial measures. Multiple settlements over the last year acknowledged such cooperative measures and reflected credits afforded to the defendants in the form of reduced penalties or damage multiples in connection with the resolution, including several of the matters discussed in more detail below. These cooperative measures included self-disclosures, assistance with the determination of government losses, disclosures of internal investigations and facts not known to the government, and remedial measures such as implementing tracking system enhancements or terminating or separating employees.

In 1986, Congress strengthened the False Claims Act by increasing incentives for whistleblowers to file lawsuits alleging false claims on behalf of the government. These whistleblowers, or qui tam, actions comprise a significant percentage of the False Claims Act cases that are filed. Qui tam cases may be pursued by the government or the whistleblower, and this past year, significant recoveries were obtained by both. When a qui tam action is successful, the whistleblower, also known as the relator, typically receives a portion of the recovery ranging between 15% and 30%. The 979 qui tam suits filed in fiscal year 2024 breaks the prior record set in 2013, and this past year, the Justice Department reported settlements and judgments exceeding \$2.4 billion in these and earlier-filed qui tam suits.

The \$2.9 billion in settlements and judgments announced today does not include two significant settlements occurring just after the end of the fiscal year.

On Oct. 10, 2024, [Teva Pharmaceuticals USA Inc.](#), the largest generic drug manufacturer in the country, agreed to pay \$425 million to resolve allegations that it violated the False Claims Act by paying copays for Medicare patients for the multiple sclerosis drug Copaxone while steadily raising the drug's price. Teva further agreed to pay \$25 million to resolve allegations that it conspired with other generic drug manufacturers to fix prices for certain drugs and that the benefits Teva received under its price fixing

scheme constituted illegal kickbacks. This is the seventh resolution arising from the Department's investigation of price fixing by generic drug manufacturers.

On Oct. 16, 2024, [Raytheon Company](#) paid \$428 million to resolve allegations that it knowingly provided false cost and pricing data when negotiating with the Department of Defense for numerous government contracts and double billed on a weapons maintenance contract, leading to Raytheon receiving profits in excess of negotiated rates. This is the second largest government procurement fraud recovery under the False Claims Act in history.

Representative examples of False Claims Act matters pursued by the government and whistleblowers this past fiscal year are discussed below.

HEALTH CARE FRAUD

In fiscal year 2024, health care fraud remained a leading source of False Claims Act settlements and judgments. These recoveries restore funds to federal programs such as Medicare, Medicaid, and TRICARE, the health care program for service members and their families. But just as important, in many cases, enforcement of the False Claims Act also protects patients from medically unnecessary or potentially harmful actions. As in years past, the act was used to pursue matters involving a wide array of health care providers, goods, and services.

Opioid Epidemic

The Justice Department continued its pursuit of health care providers, pharmaceutical companies and pharmacies that contributed to and exacerbated the opioid crisis.

[Endo Health Solutions](#), which is in bankruptcy, agreed that the United States has an allowed, unsubordinated, general unsecured claim of \$475.6 million in the bankruptcy to resolve, among other things, allegations relating to losses to federal healthcare programs that paid for Opana ER, an opioid drug sold and marketed by Endo. The Department alleged that Endo used an aggressive scheme that marketed Opana ER to high-volume prescribers of opioids, including many prescribers that Endo knew were prescribing Opana ER or other opioids for non-medically accepted indications.

[Rite Aid Corporation](#) and 10 subsidiaries and affiliates paid \$7.5 million and agreed to provide to the United States an allowed, unsubordinated, general unsecured claim of \$401.8 million in Rite Aid's bankruptcy case to resolve allegations that Rite Aid knowingly dispensed unlawful prescriptions for controlled substances that lacked a legitimate medical purpose, were not issued in the usual course of professional practice and/or were not valid prescriptions, or were not for a medically accepted indication. The unlawful prescriptions included prescriptions for the dangerous, highly diverted combination of drugs known as "the trinity," and prescriptions for excessive quantities of opioids, such as highly addictive oxycodone and fentanyl.

[Dr. Gregory Gerber](#) agreed to a consent judgment that, among other things, requires him to pay \$4.7 million arising from allegations that he unlawfully issued prescriptions without a legitimate medical basis for opioids and other controlled substances, that one patient died from an overdose of fentanyl patches

prescribed by Gerber, and that Gerber received kickback payments from a drug manufacturer. Gerber was also sentenced to 42 months in prison and one year of home confinement in a related criminal case.

A chain of substance use disorder treatment clinics called [Crossroads](#) paid \$863,934 to resolve allegations that the clinics defrauded the Medicaid program by billing for treatment services they did not provide by, for example, billing for comprehensive medical examinations when only a regular check-in visit occurred.

Unnecessary Services and Substandard Care

The Justice Department also pursued and resolved matters in which providers billed federal health care programs for medically unnecessary services and substandard care.

[Strauss Ventures LLC, doing business as The Grand Health Care System](#), and 12 affiliated skilled nursing facilities agreed to pay \$21.3 million to resolve allegations that they knowingly billed federal health care programs for therapy services that were unreasonable, unnecessary or unskilled, or that simply did not occur as billed. As part of the settlement, the company admitted it had implemented quotas relating to beneficiaries' length of stay and to the percentages of beneficiaries billed at the highest reimbursement rate, resulting in some Medicare beneficiaries staying on therapy longer than was reasonable and medically necessary.

[Acadia Healthcare Company Inc.](#) paid \$16.6 million to resolve allegations that six of its health facilities billed for medically unnecessary inpatient behavioral health services and failed to properly discharge beneficiaries when they no longer needed inpatient treatment and had improper and excessive lengths of stay. The United States further alleged that Acadia failed to provide adequate staffing, training and/or supervision of staff, which resulted in assaults, elopements, suicides and other harm resulting from these staffing deficiencies, and failed to provide active treatment, to develop and/or update individualized assessments and treatment plans, to provide adequate discharge planning, and to provide required individual and group therapy.

[Daniel Hurt](#), who owned and/or operated Fountain Health Services LLC, Verify Health, Landmark Diagnostics LLC, First Choice Laboratory LLC, and Sonoran Desert Pathology Associates LLC, agreed to pay over \$27 million, based on his ability to pay, to resolve allegations that he and his companies received payments from Medicare for cancer genomic tests that were not medically necessary and were procured through illegal kickbacks.

Medicare Advantage Matters

The Justice Department continued to pursue cases alleging false claims in the Medicare Advantage (or Medicare Part C) program. As Medicare Part C is now the largest component of Medicare, both in terms of federal dollars spent and the number of beneficiaries impacted, the work of the Justice Department in this area is of critical importance.

[Oak Street Health](#), a wholly-owned subsidiary of CVS Health since 2023, paid \$60 million to resolve allegations that it paid kickbacks to third-party insurance agents in exchange for recruiting seniors to

Oak Street's primary care clinics. Under the Medicare Advantage Program, Medicare beneficiaries have the option to obtain their health care through privately-operated insurance plans known as MA plans, some of which contract with health care providers, including Oak Street, to provide their plan members with primary care services. The United States alleged that the Oak Street Health payments to the agents improperly incentivized them to base their referrals and recommendations on the financial motivations of Oak Street Health and of the agents rather than the best interests of seniors.

In addition to this matter, the Justice Department continued to litigate a number of other cases involving the Medicare Advantage program, including actions against [UnitedHealth Group](#), [Elevance Health \(formerly Anthem\)](#), and the [Kaiser Permanente](#) consortium.

Unlawful Kickbacks and Stark Law Violations

Kickbacks paid or received by health care providers undermine the integrity of federal health care programs by tainting medical decision-making, increasing health care costs, and adversely affecting competition. Federal law prohibits the willful solicitation or payment of illegal remuneration to induce the purchase of a good or service paid for by a federal health care program. The Stark Law seeks to safeguard the integrity of the Medicare program by prohibiting billing for certain services when the referring physician and the entity submitting the claim have a financial relationship that does not satisfy one of the statute's exceptions.

[Community Health Network Inc.](#) (Community) paid \$345 million to resolve allegations that it submitted claims to Medicare for services that were referred in violation of the Stark Law. The United States alleged that the compensation Community paid to certain physician groups was well above fair market value, and that Community awarded bonuses to physicians that were tied to the number of their referrals. The United States alleged that senior management at Community embarked on an illegal scheme to recruit physicians for employment for the purpose of capturing their lucrative "downstream referrals."

[DaVita Inc.](#) paid \$34.5 million to resolve allegations that it paid kickbacks to a competitor to induce referrals to a former subsidiary that provided pharmacy services for dialysis patients. As part of the improper arrangement, the United States alleged that DaVita agreed to acquire certain European dialysis clinics and agreed to purchase dialysis products from the competitor. The United States also alleged that DaVita paid additional kickbacks to nephrologists and vascular physicians to induce referrals to DaVita's dialysis centers.

[Prema Thekkekk, her management company Paksn Inc., and six skilled nursing facilities](#) owned by Thekkekk and/or operated by Paksn entered into a \$45.6 million consent judgment to resolve allegations they paid kickbacks to physicians in the form of medical directorships to induce patient referrals.

[RDx Bioscience Inc. \(RDx\) and its owner and Chief Executive Officer Eric Leykin](#) paid \$10.3 million to resolve allegations that they paid kickbacks in the form of commissions based on the volume and value of referrals to independent contractor marketers to arrange for and recommend that healthcare providers order RDx laboratory tests, as well as purported management services organization (MSO) payments to physicians, which were disguised as investment returns but actually were offered to induce

the provider to order RDx laboratory tests. To date the government has recovered over \$53 million relating to conduct involving MSO kickbacks to healthcare providers, including False Claims Act settlements with 48 physicians.

[Innovasis and two senior executives](#) agreed to pay \$12 million to resolve allegations that they paid kickbacks to spine surgeons in the form of consulting fees, intellectual property acquisition and licensing fees, registry payments, performance shares in Innovasis, travel to a luxury ski resort, and lavish dinners and holiday parties to induce use of the company's spinal implants, devices, and other equipment in medical procedures performed on Medicare beneficiaries.

The Justice Department filed claims against [Murphy Medical Center, Inc., doing business as Erlanger Western Carolina Hospital, and Chattanooga-Hamilton County Hospital Authority doing business as Erlanger Health System and Erlanger Medical Center](#) (collectively, Erlanger), alleging that Erlanger knowingly submitted claims to Medicare for services that were referred in violation of the Stark Law. The complaint alleged that Erlanger paid its physicians compensation that was well above fair market value and that Erlanger knew that the claims for services referred by those physicians were not eligible for payment.

The Justice Department also filed claims against [Rick Nassenstein](#), formerly the president, chief financial officer, and co-owner of Cardiac Imaging Inc., a provider of mobile cardiac positron emission tomography (PET) scans. The complaint alleges that Nassenstein played a central role in a scheme whereby CII paid above-fair market value fees to doctors who referred patients to CII for cardiac PET scans, which was the subject of a \$85 million settlement with Cardiac Imaging and its founder last year.

Other Health Care Fraud

[Rite Aid Corporation \(Rite Aid\) and Rite Aid subsidiaries, Elixir Insurance Company, RX Options LLC, and RX Solutions LLC \(Elixir\)](#), which offered Medicare drug plans and pharmacy benefit manager (PBM) services, agreed to pay \$101 million and to grant the United States an additional, allowed, unsubordinated, general unsecured claim of \$20 million in Rite Aid's bankruptcy to resolve allegations that they failed to accurately report drug rebates to the Medicare Program. The United States alleged that these Rite Aid entities improperly reported portions of rebates they received from manufacturers as bona fide service fees, even though manufacturers did not negotiate with the defendants to pay such fees.

[Walgreens Boots Alliance Inc. and Walgreen Co.](#) (together, Walgreens) agreed to pay \$106.8 million to resolve allegations that they billed government health care programs for prescriptions that were processed but never picked up by beneficiaries.

[Columbus LTACH, doing business as Silver Lake Hospital](#), and certain of its investors, agreed to pay over \$30 million to resolve allegations that Silver Lake claimed excessive Medicare cost outlier payments, a form of supplemental reimbursement to hospitals in cases where the cost of care is unusually high. The settlement also resolved allegations under the Federal Debt Collection Procedures Act that Silver Lake transferred millions of dollars of the hospital's money to its investors without receiving equivalent value

in return, at a time when the hospital had reason to believe that it would not be able to repay its debts to the Medicare program.

[Gentiva, successor to Kindred at Home](#), paid \$19.4 million to resolve allegations that Kindred at Home and related entities submitted claims and retained overpayments for hospice services provided to patients who were ineligible to receive hospice benefits.

The Justice Department filed claims against [Regeneron Pharmaceuticals Inc.](#), alleging that the company fraudulently inflated Medicare reimbursement rates for Eylea, a medication used to treat neovascular Age-Related Macular Degeneration. The complaint alleges that Regeneron knowingly submitted false average sales price reports, on which Medicare reimbursements are set, to the government that did not take into account certain price concessions.

The Justice Department also filed claims against six health plans ([Brighton Marine Health Center](#), [CHRISTUS Health Services](#), [Johns Hopkins Medical Services Corporation](#), [Martin's Point Health Care](#), [Pacific Medical Center](#), and [St. Vincent's Catholic Medical Centers of New York](#)) participating in the Uniformed Services Family Health Plan program, as well as their trade group, alleging they knowingly retained inflated payments for healthcare services provided to retired military members and their families. The United States further alleged that after learning of the calculation errors, the plans took steps to conceal the overpayments from the government and continued to submit invoices at the inflated payment rates. The government resolved related claims against Kennell and Associates, an actuarial firm, for \$779,951 plus contingent payments, based on its inability to pay.

MILITARY PROCUREMENT FRAUD

The government continued its pursuit of fraud matters involving the purchase of goods and services by the military services. Fraud in these programs not only squanders government funds, but also can deprive servicemembers of critical resources and potentially put them at risk.

[Sikorsky Support Services Inc and Derco Aerospace Inc.](#) paid \$70 million to resolve allegations they overcharged the U.S. Navy for spare parts and materials needed to repair and maintain the primary aircraft used to train naval aviators. The United States alleged that these entities, which were owned by the same parent company, entered into an improper subcontract that resulted in the Navy paying inflated costs for parts.

[Austal USA LLC](#) paid \$811,259 to resolve allegations that it knowingly supplied valves that did not meet military specifications. The United States alleged that under a U.S. Navy contract Austal invoiced for military grade valves to be installed on certain combat ships when Austal knew the valves had not met the testing requirements to be deemed military grade.

The Department brought claims against [Insect Shield LLC and the Estate of Richard Lane](#), the founder, majority owner and chief operating officer of the company, for allegedly causing the submission of false claims to the Department of Defense under contracts to provide Army Combat Uniforms. The United States alleges that Insect Shield and Lane falsified the results of the insect repellent testing to conceal failing test results, including by inappropriately combining results from different rounds of testing, re-

labeling test samples to hide the true origin of the samples, and performing re-tests of uniforms in excess of what the contract permitted.

PANDEMIC FRAUD

In response to the COVID-19 crisis, Congress authorized historic levels of emergency funding for federal agencies to provide direct financial assistance to individuals, businesses, and state, local, and Tribal governments. The Justice Department's efforts in this area have included the pursuit of cases involving improper payments under the Paycheck Protection Program (PPP), administered by the Small Business Administration (SBA), and alleged fraud affecting Medicare and other federal healthcare programs for services related to COVID-19 testing and treatment. During fiscal year 2024, the Department obtained more than 250 False Claims Act settlements and judgments, which collectively exceeded more than \$250 million, resolving allegations of pandemic-related fraud.

Now-bankrupt financial technology company [Kabbage Inc.](#), doing business as KServicing, agreed to resolve allegations that it submitted, and caused the submission of, thousands of false claims for PPP loan forgiveness, loan guarantees, and processing fees to the SBA. The United States alleged that Kabbage systemically inflated PPP loans, causing the SBA to guarantee and forgive loans in amounts that exceeded what borrowers were eligible to receive, and that Kabbage failed to implement appropriate fraud controls. As part of the resolution, the United States will receive an allowed, unsubordinated, general unsecured claim in the bankruptcy proceeding of up to \$120 million.

[West Coast Dental Administrative Services LLC \(formerly West Coast Dental Services Inc.\)](#) and its founders and former owners Drs. Soleyman Cohen-Sedgh, Farid Pakravan and Farhad Manavi paid \$6.3 million to resolve allegations that the company and affiliated dental offices received seven improper second-draw PPP loans, which were limited to businesses with 300 employees or less. The United States alleged the companies falsely certified that they qualified for these loans.

[Hemisphere GNSS \(USA\) Inc.](#), which was purchased by CNH Industrial in 2023, paid \$2.6 million to resolve allegations that it provided false information with a PPP loan and forgiveness of that loan. To obtain the loan, the company certified that no entity created in or organized under the laws of the People's Republic of China owned or held 20% or more of an economic interest in the company, and that it did not have a board member who was a resident of the People's Republic of China. The United States alleged that at the time the company applied for the loan, both of those certifications were false.

[Andrew Maloney and the clinical laboratory that he owned, Capstone Diagnostics](#), paid \$14.3 million to resolve allegations that, among other things, they sought to profit from the COVID-19 pandemic by paying volume-based commissions to independent contractor sales representatives to recommend respiratory pathogen panel tests to senior communities interested only in COVID-19 tests and to generate orders using forged signatures of physicians that did not reflect the medical conditions of the senior community residents receiving the tests. In a similar matter, the government obtained a \$26.3 million default judgment against [Provista Health LLC and its owner Patrick Britton-Harr](#) for billing during the height of the pandemic for medically unnecessary respiratory pathogen panel tests and tests that were not performed.

[City Medical of the Upper East Side, PLLC, Summit Medical Group, P.A., Summit Health Management, LLC, and Village Practice Management Company LLC, which collectively do business as CityMD](#), agreed to pay \$12 million to resolve allegations for false claims for COVID-19 testing to a Health Resources and Services Administration (HRSA) program for uninsured patients arising from CityMD's failure to adequately confirm that the individuals had health insurance coverage before submitting their claims to the Uninsured Program.

CYBERSECURITY INITIATIVE

The Department's effort to combat cybersecurity threats includes its Civil Cyber-Fraud Initiative. The Initiative is dedicated to using the False Claims Act to promote cybersecurity compliance by government contractors and grantees by holding them accountable when they knowingly violate applicable cybersecurity requirements.

The Justice Department filed claims against [Georgia Institute of Technology and Georgia Tech Research Corp.](#) alleging that those defendants failed to meet cybersecurity requirements in connection with Department of Defense (DoD) contracts. The complaint alleges that a research lab at Georgia Tech failed to develop and implement a system security plan, as required by DoD cybersecurity regulations, and submitted a false cybersecurity assessment score to DoD for the Georgia Tech campus. The complaint also alleges that the lab failed to install, update or run anti-virus or anti-malware tools on desktops, laptops, servers and networks at the lab.

[Guidehouse Inc.](#) paid \$7.6 million and [Nan McKay](#) agreed to pay \$3.7 million to resolve allegations they failed to meet cybersecurity requirements in a contract with New York funded by a federal grant intended to secure online environments for New York residents to apply for federal rental assistance during the Covid-19 pandemic. Guidehouse and McKay admitted that neither satisfied their obligation to complete the required testing of the online site used to house applicants' information, and the site was shut down within twelve hours after certain applicants' personally identifiable information had been compromised.

[Insight Global LLC](#) paid \$2.7 million to resolve allegations it failed to implement adequate cybersecurity measures to protect health information obtained during Covid-19 contact tracing. The United States alleged that the Pennsylvania Department of Health hired the company to provide staffing for Covid-19 contact tracing using funds from the U.S. Centers for Disease Control and Prevention and that the company failed to keep the health information confidential and secure.

OTHER FRAUD RECOVERIES

The judgments, settlements, and lawsuits announced during fiscal year 2024 involved a variety of other programs and schemes that reflect the range of the government's False Claims Act enforcement efforts.

[Gen Digital Inc. \(formerly known as Symantec Corp.\)](#) paid \$55.1 million to satisfy a judgment that it made knowingly false claims to the United States when it misrepresented its commercial sales practices during the negotiation and subsequent performance of a General Services Administration (GSA) contract. The court found after a four-week bench trial that the false disclosures induced GSA to accept

and then continue to pay higher prices than it would have had it known of Symantec's actual commercial pricing practices. The court also found that Symantec continuously violated the Price Reduction Clause, a standard term in these types of contracts that requires the contractor throughout performance of the contract to maintain GSA's price position in relation to an identified customer or category of customer agreed upon in contract negotiations.

The [City of Los Angeles](#) paid \$38.2 million to resolve allegations that it failed to meet federal accessibility requirements when it sought and used Department of Housing and Urban Development (HUD) grant funds for multifamily affordable housing. The United States alleged that the city failed to make its affordable multifamily housing program accessible to people with disabilities. The United States further alleged that the city failed to maintain a publicly available list of accessible units and their accessibility features and the city, on an annual basis, falsely certified to HUD that it complied with related grant requirements.

[Hilcorp San Juan L.P.](#) paid \$34.6 million to resolve allegations that it underpaid royalties owed on oil and natural gas produced from federal lands. The United States alleged that the company made payments to the federal government based on estimated volumes and prices without indicating that the payments were based on estimates and without subsequently adjusting its payments in the following months to account for actual volumes and values, resulting in the underpayment of royalties to the United States. In another case based on allegations of the underpayment of royalties owed on natural gas, [XTO Energy Inc.](#) paid \$16 million to resolve allegations that the company improperly deducted costs necessary to put the gas in marketable condition, improperly deducted costs of transporting carbon dioxide, and failed to pay royalties on carbon dioxide.

[Hahn Air Lines GmbH and Hahn Air USA Inc.](#) paid \$26.8 million to resolve allegations that Hahn Air failed to remit to the United States certain travel fees collected from commercial airline passengers flying into or within the United States.

[Consolidated Nuclear Security LLC](#) paid \$18.4 million to resolve allegations that it billed for time not worked at the National Nuclear Security Administration's Pantex Site near Amarillo, Texas.

[AECOM](#) paid \$11.8 million to resolve allegations that it submitted false claims to the Federal Emergency Management Agency for the replacement of certain educational facilities located in Louisiana that were damaged by Hurricane Katrina. The United States alleged that AECOM submitted to FEMA fraudulent requests for disaster assistance funds and did not correct applications that included materially false design, damage and replacement eligibility descriptions. Combined with settlements with other entities involved in the alleged conduct, the government recovered over \$25 million in connection with the disaster assistance applications prepared by AECOM.

RECOVERIES IN WHISTLEBLOWER SUITS

Of the \$2.9 billion in settlements and judgments reported by the government in fiscal year 2024, over \$2.4 billion arose from lawsuits that were filed under the qui tam provisions of the False Claims Act and pursued by either the government or whistleblowers. During the same period, the relator shares for the individuals who exposed fraud and false claims by filing qui tam actions exceeded \$400 million.

The number of lawsuits filed under the qui tam provisions of the act has grown significantly since 1986, with an average of more than 18 new cases filed every week during this past year.

“Whistleblowers play a critical role in identifying fraud schemes,” said Principal Deputy Assistant Attorney General Boynton. “We continue to be grateful for their efforts and often substantial sacrifices to uncover and report these schemes.”

In 1986, Senator Charles Grassley and Representative Howard Berman led the successful efforts in Congress to amend the False Claims Act to, among other things, encourage whistleblowers to come forward with allegations of fraud. In 2009 and 2010, further improvements were made to the False Claims Act and its whistleblower provisions.

On behalf of the Civil Division, Principal Deputy Assistant Attorney General Boynton expressed appreciation for the many public servants over the past year who supported the Department’s enforcement efforts. “The accomplishments announced today are a result of the tireless efforts of civil servants who work to protect taxpayer dollars and the important programs that they support,” said Principal Deputy Assistant Attorney General Boynton. “These individuals serve at offices across the country, including the Fraud Section of the Civil Division, the U.S. Attorneys’ Offices, the agency Offices of Inspector General and Offices of General Counsel, and many other federal and state agencies that contribute to this important work.”

Except where indicated, the government’s claims in the matters described above are allegations only and there has been no determination of liability. The numbers contained in this press release may differ slightly from the original press releases due to accrued interest.

[View the statistics sheet here.](#)

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FALSE CLAIMS ACT

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